

the processing of personal data in the context of audits:

2.4. The Ministry of Justice's report states that the collection of personal data must be necessary for the performance of the audit tasks. The Rigsrevisionen has to ensure that the data collected is relevant and limited to what is necessary in relation to the purposes for which they are processed, in accordance with the principle of data minimization as outlined in Article 5, paragraph 1, letter c of the General Data Protection Regulation.

3. Conclusion

Based on the information provided by Rigsrevisionen, the Data Protection Agency concludes that Rigsrevisionen's processing of personal data is carried out within the framework of data protection regulations, including the rules of the General Data Protection Regulation. The Data Protection Agency finds that Rigsrevisionen has a legal basis for collecting personal data under the Rigsrevisorloven, specifically Section 12, and that Rigsrevisionen does not collect more information than necessary for its audit activities.

4. Recommendations

The Data Protection Agency recommends that Rigsrevisionen continues to ensure compliance with data protection regulations and maintains a focus on data minimization in its audit processes. The agency encourages Rigsrevisionen to regularly review its data collection practices to ensure they remain aligned with legal requirements and best practices in data protection.

5. Final Remarks

The Data Protection Agency appreciates Rigsrevisionen's cooperation during the review process and looks forward to continued collaboration in ensuring compliance with data protection regulations in the context of public audits.

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Data Protection Regulation (2016/679), No. 1565/2017, Part II, Assessments of Special Legislation in Individual Ministerial Areas, p. 14:

"The Department can, however, inform that two laws have been identified within the jurisdiction of the Folketing that may regulate the processing of personal data, cf. Appendix Table 3. These are Section 12, Subsection 1 of the Auditor General Act, which states that the Auditor General may demand to be provided with all such information and presented with all such documents that, in the Auditor General's opinion, are significant for the performance of the Auditor General's duties, and Section 4, Subsection 3 of the State Auditor Act, which states that anyone working in public service is obliged to provide the State Auditors with the information and documents they deem necessary for the exercise of their duties. Thus, there is potentially a discussion of the processing of personal data. It is assessed that the aforementioned provisions can be maintained after the regulation comes into force. In the assessment, emphasis has been placed on the fact that the processing is deemed necessary for the performance of a task in the public interest, or that falls under the exercise of public authority, cf. Article 6, Subsection 1, Letter e, and Article 9, Subsection 2, Letter g."

The National Audit Office can thus also, after the entry into force of the Data Protection Regulation, obtain the information that the Auditor General deems necessary for tasks related to auditing, including personal data. However, the audit is not directed at individual persons, but at the authority. It may be relevant and necessary to obtain personal data when the National Audit Office conducts investigations. An example can be mentioned, namely Report No. 13/2021 on the management of the disability area, where the National Audit Office investigates whether the oversight of the municipalities' management of the disability area by the Ministry of Social Affairs and the Elderly is satisfactory.

Furthermore, it is relevant and necessary for the National Audit Office to obtain certain information about the employees of the audited entities when the National Audit Office needs to verify the audited entities' rules and guidelines, e.g., whether salaries are paid correctly, etc., or whether severance payments comply with the rules.

Section 12, Subsection 1 of the Auditor General Act is "technology-neutral" and also constitutes the legal basis for obtaining material that contains personal data through terminal access to the audited authority's systems. Employees of the National Audit Office can be granted access to a number of

systems if they have a work-related need.

The National Audit Office further stated that:

“No, it is not always relevant and necessary for the National Audit Office to obtain personal data when the National Audit Office carries out its auditing activities, including obtaining material for use in the audit, cf. the attached list. In some cases, however, it is relevant and necessary for the National Audit Office to obtain directly identifiable personal information, cf. the response to question 2. Employees of the National Audit Office are instructed to justify and document if personal data is to be obtained. The employees are also instructed to engage in dialogue with the audited authority to ensure compliance with the obligation of data minimization, including avoiding receiving, for example, CPR information or other personally identifiable information if it is not relevant to the audit. The National Audit Office can, among other things, refer to the attached template for material requests, which addresses the issue of data minimization. It also follows from Section 12, Subsection 1, and Section 6, Subsection 2 of the Auditor General Act that the National Audit Office may only obtain the information that is necessary for our tasks. It should be noted for the sake of good order that the requirement for systematic documentation of our considerations regarding the need to obtain personal data was introduced in early 2023 as a follow-up to the National Audit Office's meeting with the Data Protection Agency in October 2022.

However, it may happen that the National Audit Office receives personal data that we have not requested.

The National Audit Office does not have the authority to require that the audited entities prepare new documents for the audit, including deleting information in documents before they are handed over to the National Audit Office. Furthermore, it may be contrary to the auditing purpose if authorities process, including deleting in the original material, in connection with the National Audit Office's obtaining of material and information. This is because the material/information must be used as audit evidence.”

From the attached template for material requests, it appears that:

“Material Request

For the purpose of the National Audit Office's #specify the specific investigation# the #audited entity# is requested to provide the following information/documents, cf. Section 12 of the Auditor General Act:

#XX#

#XX#

#XX#

In consideration of the principle of data minimization, cf. Article 5, Subsection 1, Letter c of the Data Protection Regulation, and Section 12, Subsection 1 of the Auditor General Act, the National Audit Office requests that no more information than mentioned above is provided, and that personal data is, as far as possible, pseudonymized/anonymized before delivery.

You are welcome to get back to us if this raises any questions, including with a view to discussing how data minimization can be achieved...”

Finally, the National Audit Office stated that:

“The tasks of the National Audit Office include larger investigations for the purpose of reports to the State Auditors on specific topics, 2 annual reports on the audit of the state accounts and the audit of the state's administration, the individual ministerial areas/paragraphs therein, as well as the audit of 54 other annual accounts for 2022.”

“(independent public enterprises, etc.). In addition, there are smaller tasks involving statements related to EU grants to Danish authorities. Each individual task may consist of several processes, audit visits, etc. In the National Audit Office's ESDH system, the tasks are therefore often divided into several audit cases. The Data Protection Agency requests a list of completed audits in 2022. The National Audit Office's cases do not follow a specific calendar year and are therefore not necessarily concluded in the year they were initiated. The attached list therefore shows all established audit cases in 2022 in the National Audit Office's ESDH system. For each audit case, it is indicated whether the case contains personal data, and if so, how the data was obtained, cf. the categorization in the Data Protection Agency's question 1. The National Audit Office wishes to clarify that in a number of cases

there are ordinary personal data in the form of, for example, contact information for those we audit, signatories on documents and accounts, as well as names in instructions, etc. Such information is not marked with a "yes" on the list. Please note that the list does not include information about the audit of the classified accounts of the Defence Intelligence Service (FE) and the Police Intelligence Service (PET), as these cases are classified. It can be stated that the audit of these accounts is conducted physically through on-site visits.**

2.4. Following the National Audit Office's statement of September 18, 2023, the Data Protection Agency on October 3, 2023, requested the National Audit Office to provide information on how it is determined that personal data should be obtained via terminal access, including whether this relates to the type of audit, who decides that terminal access should be made available to the National Audit Office, and how the provision of personal data via terminal access occurs in practice, including whether the National Audit Office receives unlimited terminal access to the audited authority's systems or only to pre-selected (relevant) cases. If the National Audit Office receives unlimited terminal access to the audited authority's systems, the Data Protection Agency further requested the National Audit Office to address whether this is in accordance with the principle of data minimization, including whether the purpose of the audit can be achieved in a similar manner without such unlimited access.

2.5. In response, the National Audit Office stated on October 13: "In the response of September 18, 2023, to the Data Protection Agency regarding the 2022 audits, the National Audit Office indicated that in a number of cases, personal data has been obtained for the audit via terminal access. There are three different types of terminal access: The National Audit Office primarily uses terminal access to the common state IT systems, which the Ministry of Finance and the National Audit Office have entered into an agreement about. However, there are state authorities that do not use the common state IT systems but other accounting systems, e.g., SAP. Here, specific agreements have been made between the National Audit Office and the audited authority regarding terminal access. Finally, the National Audit Office has tasks involving the audit of accounts outside the state accounts. In such cases, there may also be an agreement regarding terminal access to the audited authority's own system or parts thereof. This applies, for example, to tasks involving the audit of Banedanmark and the Nordic Culture Fund. Terminal access is generally used to obtain audit evidence, such as accounting information, invoices, payroll information, etc. The choice of audit evidence is made based on the requirements of the audit task, which are established in the National Audit Office Act and in the standards for public auditing. The decision on whether accounting information, etc., should be accessed via terminal access is made based on the following considerations: data protection – in connection with the transfer and storage of data; the principle of data minimization – i.e., to obtain as little data as possible; efficiency – both for the audited authority and for the National Audit Office. The question of whether terminal access is used does not, in principle, relate to specific types of audits. Terminal access can thus be used for all audit tasks, regardless of whether it concerns financial audits, legally critical audits, or administrative audits. In practice, terminal access is primarily used in connection with financial audits, where, among other things, part of the audit procedures for the audit of the state accounts is carried out centrally and automatically, which occurs via direct access to the common state systems." The National Audit Office further stated that: "The National Audit Office's terminal access to the common state IT systems is described in the agreement between the Ministry of Finance and the National Audit Office. The agreement states that employees in the National Audit Office who have a professional need can access the data of the state authorities in the common state systems via the Ministry of Finance without prior contact with the authority whose data the access may concern. Ministries and agencies are informed about this automatic access to the information in the systems. Furthermore, it is the audited authority that decides whether terminal access should be made available to the National Audit Office. However, the National Audit Office can at any time conduct audits and account reviews at the location where the accounts are kept or where the necessary material is otherwise found, cf. Section 1 of the National Audit Office Act.

13. However, the National Audit Office cannot require that the information be made available in a specific manner, including through terminal access. On-site audits – i.e., audits at the audited entity – can, however, be compared to terminal access, as the auditor in both cases accesses the information

at the audited entity. On-site audits with unlimited access to relevant information, including through the granting of terminal access, are an acknowledged audit access in both public and private auditing."

From the Danish Agency for Governmental Management's "General Service Description" from March 2020, which the National Audit Office has referred to, section 5.4 regarding the National Audit Office's access states: "The National Audit Office and the Danish Agency for Governmental Management have entered into an agreement regarding audit access to the shared governmental IT systems. The agreement means that those employees of the National Audit Office who have a professional need can gain access to the data of the governmental institutions in the shared governmental systems via the Danish Agency for Governmental Management without prior contact to the institution whose data the access may concern. The National Audit Office is responsible for ensuring that only employees with a specific need for the individual system gain access to the system, and the National Audit Office is also responsible for ensuring that accesses are continuously deleted when the need is no longer present. The agreement is a practical implementation of the obligation to provide data that public authorities have under Section 12 of the National Audit Office Act. This means that the Danish Agency for Governmental Management is exempt from any liability for the National Audit Office's use of data. Thus, the National Audit Office is solely responsible both in relation to ministries and agencies and for complying with applicable legislation, including data protection law and regulation."

Furthermore, the National Audit Office stated that: "The National Audit Office does not have unlimited terminal access to all the audited entity's systems or cases. Employees with a work-related need are granted read access to the relevant system. If the system allows for it, access is limited to the part of the system that is relevant to the National Audit Office's audit task. This applies, for example, in the area of the Ministry of Taxation, where the National Audit Office has access to the ministry's accounting program SAP Intern, but not to the HR module, which is also in SAP Intern. It depends on the specific system how terminal access is provided in practice. This typically occurs by being issued a username and a code."

Finally, the National Audit Office stated that: "As mentioned above, the National Audit Office does not have unlimited terminal access to all the audited entity's systems or cases. The alternative to accessing relevant audit information via terminal access is to obtain the information, for example, by collecting documents in physical form. The National Audit Office assesses that terminal access supports the principle of data minimization, as the National Audit Office, through terminal access, only has a limited need to store personal data itself, and terminal access allows the National Audit Office to search for specific accounting documents and data, thereby avoiding the need to obtain entire cases."

3. Justification for the Data Protection Authority's Decision

3.1. It follows from Article 6(1) of the General Data Protection Regulation that processing is only lawful if and to the extent that at least one of the following conditions applies:

The data subject has given consent to the processing of their personal data for one or more specific purposes.

Processing is necessary for the performance of a contract to which the data subject is a party, or for the taking of steps at the request of the data subject prior to entering into a contract.

Processing is necessary for compliance with a legal obligation to which the data controller is subject.

Processing is necessary to protect the vital interests of the data subject or of another natural person.

Processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller.

Processing is necessary for the purposes of legitimate interests pursued by the data controller or a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, particularly if the data subject is a child.

The Data Protection Authority assumes that the relevant legal basis for the National Audit Office's collection of personal data, when the National Audit Office carries out its auditing activities, is Article 6(1)(e) of the General Data Protection Regulation, which states that processing is lawful if it is necessary for the performance of a task carried out in the public interest or in the exercise of official

authority vested in the data controller.

It follows from Articles 6(2) and (3) of the General Data Protection Regulation that this legal basis cannot be applied "directly," but requires that there is a supplementary legal basis (legal authority) in EU law or Danish law. The National Audit Office has referred to the National Audit Office Act[2], including its Section 12(1), as a supplementary legal basis. It follows from this provision that the National Auditor may demand to be provided with all such information and presented with all such documents that, in the opinion of the National Auditor, are significant for the performance of the National Auditor's duties. The National Auditor may set a deadline for this.

It is also stated in Report No. 1565[3], Part 2, p. 12, that the Ministry of Finance has assessed that Section 12(1) of the National Audit Office Act can be upheld after...

****Entry into Force of the Regulation.**** In the assessment, emphasis has been placed on the fact that the processing is deemed necessary for the performance of a task in the public interest.

The Data Protection Agency finds, on this basis, that the National Audit Office has the legal basis under Article 6, paragraph 1, letter e of the General Data Protection Regulation to collect personal data when the National Audit Office carries out its auditing activities, cf. the rules in the National Audit Office Act, including Section 12, paragraph 1.

3.2. In addition to having a legal basis for processing, any processing of personal data must also be carried out in accordance with the fundamental principles in Article 5 of the General Data Protection Regulation, including the principle of data minimization in letter c of the provision.

It follows from Article 5, paragraph 1, letter c of the General Data Protection Regulation that personal data must be adequate, relevant, and limited to what is necessary in relation to the purposes for which they are processed ("data minimization").

This means that the National Audit Office, when carrying out its auditing activities, may only collect the information that is necessary for this purpose. The National Audit Office has stated that it collects information in a variety of ways, including through physical reviews at the audited authority, by having the audited authority send materials, and by terminal access to the audited authority's systems.

The National Audit Office has further stated that employees are instructed to justify and document when personal data needs to be collected. Employees are also instructed to engage in dialogue with the audited authority to ensure compliance with the obligation of data minimization, including avoiding receiving, for example, CPR numbers or other personally identifiable information if it is not relevant to the audit.

In this context, it appears from the attached template that when the National Audit Office requests information from an authority, it explicitly draws attention to the principle of data minimization, including that no more information is provided than requested, and that personal data is, as far as possible, pseudonymized/anonymized prior to disclosure.

The National Audit Office has additionally stated that the decision on whether accounting information, etc., should be accessed via terminal access is made based on several considerations, including "data protection – in relation to the transfer and storage of data" and "the principle of data minimization – i.e., to get as little data in as possible."

The Data Protection Agency finds, based on the above and what the National Audit Office has otherwise stated, that the National Audit Office's collection of personal data, when carrying out its auditing activities, occurs within the framework of Article 5, paragraph 1, letter c of the General Data Protection Regulation.

The Data Protection Agency has noted with satisfaction that the National Audit Office – following the meeting between the Agency and the National Audit Office – has implemented a requirement for systematic documentation of the considerations regarding the need to collect personal data.

[1] Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement

of such data, and repealing Directive 95/46/EC (General Data Protection Regulation).

[2] Act No. 321 of June 26, 1975, on the audit of the state's accounts, etc., as amended (National Audit Office Act).

[3] Report No. 1565 on the General Data Protection Regulation – and the legal framework for Danish legislation.